

A2

Information Presentation Response

- An average student taking this course 10 years ago are likely less concern about the privacy because users less informed about the data exploitation (Madden et al., 2017).
- Today's average student is more aware of digital privacy due to stricter regulations like GDPR (Taneja et al., 2021).
- Looking ahead, a student in 10 years maybe even more concern because AI-driven surveillance and predictive analytics may pose new privacy risks (Zuboff, 2019).
- However, privacy fatigue (Choi et al., 2018) may also lead less concern because students are accustomed to data sharing.

Much Ado About Leaking

- Zark and Beff, I understand both of your perspective. What we need is a solution that protect our users, ensure legal compliance and maintains our company's reputation. Keeping this security issue secret is ethically irresponsible and legally dangerous. However, if we public this problem too early, we will need to face unnecessary risk from hackers. The best way in my opinion is a responsible disclosure method, which balances transparency with security.
- Our users trust us and give use their private conversations, personal pictures and sensitive files. The security problem exposing these data is a significant ethical issue. According to ACM Code of Ethics (2018), computing professionals must “avoid harm” and act in the public interest. If we knowingly hide this problem and lead to leak users data, we are complicit of this harm.
- Besides, research by Solove (2020) in Privacy and Power shows that users expect transparency from digital service providers. Companies which handle security problems responsibly will maintain users trust, otherwise, they will suffer long-term reputational damage. The Cambridge Analytica scandal (2018) is a prime example: Facebook’s lack of disclosure resulted in a \$5 billion FTC fine and a major public backlash (FTC, 2019). We can't hide this and leak it later. Otherwise, we will lost our users and might face the lawsuits, regulatory action, and financial penalties.
- Also, Zark, I understand your fear about hackers but the bigger risk is legally responsibility. We develop in a global market, which means we must comply with international data privacy law like GDPR, CCPA and PIPL. If we can't solve this problem, we will be imposed massive fines by regulators and have to out of business. A research by Taneja et al. (2021) found that companies that disclose responsibly face 35% less financial penalties

compared to those that fail to disclose security problem. Hiding this issue might force us lose millions in regulatory fines and lawsuits.

- Zark, I agree that publish this bug will make us be a target of hackers temporally. However, if we leak later, keeping this secret will cause permanent damage. Our company might fail to disclose security flaws lose an average of 28% of our users within six months (Kshetri & Voas, 2017). In the meanwhile, conveying security problem transparently will make the company quickly regain user's trust.
- I also agree with Beff. If users find we do nothing when we knew this bug, we are finished. The Yahoo data breach (2013-2014) is a perfect example: when it was revealed years later, Yahoo lost \$350 million in its acquisition deal with Verizon (Reuters, 2017). If we get transparent action now, we can minimize the damage and quickly recover.
- To balance transparency and security, I think we need to follow below steps. Firstly, our engineering team need to fix the issue and we should publish a forced update to ensure users install the fix as soon as possible. Then, we privately notifies cybersecurity experts, regulatory agencies, trusted researchers and shows good faith compliance while preventing. Follow by this step, we release a carefully worded statement, including acknowledgement about vulnerability, thanks for the security community to address it and providing of guidance to update. Also, we need to launch a bug bounty program to reward ethical hackers for reporting vulnerabilities and conduct regular security audits to prevent future leaks. The above approaches follow best practices in cybersecurity and minimizes both legal and reputational risks (Anderson, 2020).
- Finally, I side with Beff, but we need a balanced way. We do need for transparency but propose a controlled, strategic disclosure process to minimize risk. I strongly oppose Zark's idea of covering it up. Since there are many historical cases show that we will get worse consequence than we disclose responsibly.
- If we act quickly, protect our users, comply with laws and display integrity, it will ultimately make UTSC stronger and more trusted in the long run.

Weighing Stakeholder Interests

- Users : Need protection and transparency. We must notify them responsibly.
- Regulators : Require compliance to avoid fines and legal trouble.
- Investors : Want to avoid financial loss due to lawsuits or loss of trust.
- Hackers : Must not be given an opportunity to exploit the bug before a fix is deployed.

The CPPA And Internet Privacy in Canada

Supporters

- Supporters of the Consumer Privacy Protection Act (CPPA) perceive it as a step towards modernizing Canada's legislation and harmonizing it with international best practices, particularly with the European Union's (EU's) General Data Protection Regulation (GDPR) (De Hert & Papakonstantinou, 2018; Laufer, 2020). CPPA imports the enhanced right of consumers, including stricter consent requirements, data minimization, and the right to access, correct, and delete personal data, which should be published earlier in some supporters opinion (Kuner et al., 2020; Innovation, Science and Economic Development Canada, 2023). There are also some research show that stronger data protection can increase consumer trust and decrease the possibility of data misuse (Müller & Klemperer, 2021; Schwartz & Peifer, 2017).
- Besides, supporters imply that CPPA allowed OPC can penalty higher for companies which didn't protect user data (Gowling WLG, 2023; Canadian Civil Liberties Association, 2023). By holding corporations accountable and aligning Canada's laws with global standards, the CPPA is seen as a critical step toward protecting citizens' digital rights.

Critics

- Although there are some improvement, critics thought CPPA is too weak to be effective. One of the main concern is that federal political parties are exempt from CPPA, they don't have to comply these standards. This loophole diminishes the law's overall impact (Bailey, 2021; Canadian Civil Liberties Association, 2023). Additionally, some scholars contend that the CPPA falls short in protecting biometric and AI-generated data, both of which are increasingly used in surveillance and targeted advertising (Laufer, 2020; Scassa, 2021).
- From a business standpoint, industry leaders worry that strict consent and data collection restrictions could stifle innovation, particularly for small and medium-sized enterprises (SMEs) that depend on consumer data for marketing and service development (Müller & Klemperer, 2021; Tirole, 2019). Research has shown that overly rigid privacy laws can lead to unintended economic consequences, such as discouraging data-driven entrepreneurship and reducing companies' ability to compete globally (Acquisti et al., 2016; Kuner et al., 2020). Furthermore, concerns have been raised about the high compliance costs associated with the CPPA, which could disproportionately impact smaller businesses while giving an advantage to larger corporations with the resources to manage legal requirements effectively (Gowling WLG, 2023; Scassa, 2021).

Predictions

- The potential outcomes of CPPA remain a subject of debate. Some experts predict that the law will significantly enhance consumer data protection, reducing corporate misuse of data and strengthening Canadians' trust in online platforms (De Hert & Papakonstantinou, 2018; Schwartz & Peifer, 2017). However, others argue that unless enforcement is consistent and effective, the CPPA may not meaningfully change corporate behavior—

especially without stronger oversight on artificial intelligence (AI) and political data collection (Bailey, 2021; Scassa, 2021).

- There are also concerns about potential government overreach. Some critics worry that the CPPA grants the government too much power to regulate digital businesses, potentially leading to an authoritarian-style control over the internet (Laufer, 2020; Tirole, 2019). Others fear that, despite its good intentions, CPPA might ultimately be ignored, similar to previous privacy regulations that failed due to weak enforcement mechanisms (Müller & Klemperer, 2021; Acquisti et al., 2016). Regardless of the outcome, experts agree that Canada's approach to privacy regulation will have significant consequences for businesses, consumers, and policymakers alike.

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